contingent on a large number of factors. Though economic outcomes are to some extent contingent on choosing policies appropriate to the conditions characterizing an economy, the relative position of an economy vis-à-vis other countries in a global setting could facilitate (or even constrain) policy choices. A few features that characterize India that may be relevant in its further engagement with the global economy as also for its future development have been discussed as below:

1. **Moved up the Ranks but the poorest of G-20:** India has emerged as the ***fourth largest*** economy (at PPP) globally with a high growth rate and has also improved its global ranking in terms of per capita income (as mentioned earlier). Yet the fact remains that its per capita income continues to be quite low (at current US $ 1527 in 2011). Addressing this is perhaps the *most visible challenge.* Though, India has a diverse set of factors, domestic as well as external, that could drive growth well into the future.
2. **Demographics:** With over 1.2 billion people, India accounts for nearly ***one-sixth*** of global population. While the rate of growth of population has consistently declined, India's population increased by nearly 180 million persons during 2001-11 (***the highest*** in the world in absolute terms). However, India is also passing through a phase when its dependency ratio will decline from an estimated 74.8 in 2001 to 55.6 in 2026 with a corresponding increase in the share of persons in working-age group. With labour being a key factor of production, a ***demographic dividend*** is a clear positive for growth. It has, however, been pointed out that much of the growth in population will occur in states that are currently poor. Therefore, for this dividend to accrue, it will be necessary to build human capital in adequate measure.

   On this count, India has shown some improvement in terms of its human development index (HDI). The UNDP's HDI, which captures the progress of a country in terms of economic indicators as well as education and health indicators increased from **0.344** in 1980 to **0.547** in 2011. India moved up from a rank of 82 in 1980 to **72** in 2011 (in a group of 100 countries for which HDI is available for these points of time). Even though India's score has improved, her